CAPITAL IMPROVEMENT PLAN

Westgate Homes | Naperville, IL

Property	Westgate Homes
Plan Date	January 13, 2024
Prepared For	Anchorage Meadow Partners
Total Plan Budget	$119,000

Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Unit interior upgrades	Life Safety	05/10/26	Q1 2025	$840,000	$207,392	Bidding
Storefront glazing	Site	03/11/26	Q2 2025	$221,000	$13,190	Approved
Fire alarm panel upgrade	Building	04/30/25	Q2 2027	$710,000	$277,520	Deferred
ADA compliance	Site	04/06/24	Q1 2025	$624,000	$350,489	In progress
Water heater replacement	Building	03/29/23	Q3 2027	$268,000	$179,627	Bidding
Fire alarm panel upgrade	Interior	07/06/26	Q4 2025	$320,000	$82,036	Bidding
LED lighting retrofit	Building	03/08/23	Q3 2027	$664,000	$165,025	Bidding
Lobby renovation	Site	06/08/25	Q4 2026	$813,000	$222,334	Complete
LED lighting retrofit	Energy	05/24/23	Q1 2026	$54,000	$41,231	Bidding
Amenity renovation	Interior	01/04/25	Q4 2025	$642,000	$101,443	Complete
Sewer line repair	Energy	12/08/26	Q1 2025	$414,000	$248,314	Complete
Parking lot resurfacing	Interior	06/16/23	Q4 2027	$210,000	$107,734	Deferred
Exterior paint	Interior	06/11/23	Q1 2025	$363,000	$290,124	In progress
Signage / monument	Life Safety	02/02/23	Q1 2027	$876,000	$675,989	Complete
Exterior paint	Interior	06/20/26	Q1 2027	$782,000	$569,297	In progress
Exterior paint	Site	05/25/26	Q4 2026	$564,000	$177,171	Bidding
Signage / monument	Energy	02/11/23	Q3 2027	$809,000	$436,459	Bidding
Amenity renovation	Building	12/03/26	Q3 2026	$749,000	$231,500	Deferred
ADA compliance	Building	08/20/26	Q3 2025	$731,000	$665,934	Complete
Elevator modernization	Interior	05/26/23	Q3 2027	$384,000	$342,980	In progress
Security camera upgrade	Building	11/17/24	Q1 2026	$627,000	$82,980	Bidding
Door hardware	Life Safety	11/11/24	Q2 2026	$673,000	$513,726	In progress
Signage / monument	Life Safety	05/09/23	Q1 2025	$591,000	$10,403	Deferred

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
ADA compliance	Site	08/01/26	Q3 2027	$385,000	$89,514	Bidding
Fence replacement	Interior	02/24/23	Q2 2026	$817,000	$783,256	Deferred
Fire alarm panel upgrade	Site	09/20/23	Q1 2027	$415,000	$205,696	Bidding
Amenity renovation	Life Safety	08/12/24	Q2 2026	$33,000	$3,885	Complete
Parking lot resurfacing	Life Safety	09/13/26	Q1 2025	$438,000	$378,457	Deferred
Security camera upgrade	Interior	06/19/25	Q2 2025	$232,000	$30,832	Bidding
Unit interior upgrades	Energy	07/30/23	Q2 2027	$403,000	$31,591	Approved
Exterior paint	Life Safety	11/18/24	Q2 2025	$764,000	$401,391	Deferred
Landscape / irrigation	Interior	04/04/23	Q4 2025	$61,000	$52,405	Deferred
Fence replacement	Energy	01/12/23	Q4 2025	$318,000	$261,996	Bidding
ADA compliance	Energy	10/25/25	Q1 2027	$856,000	$297,339	Deferred
LED lighting retrofit	Building	05/06/25	Q3 2027	$400,000	$237,820	Complete
Roof replacement - Bldg A	Site	08/01/26	Q4 2027	$172,000	$73,262	In progress
Fence replacement	Site	09/22/24	Q2 2025	$338,000	$105,162	Deferred
Water heater replacement	Life Safety	02/25/23	Q3 2027	$26,000	$3,703	Bidding
Fence replacement	Energy	07/30/26	Q3 2027	$724,000	$647,848	Deferred
LED lighting retrofit	Building	05/10/23	Q4 2027	$863,000	$362,937	Complete
LED lighting retrofit	Life Safety	11/02/24	Q2 2025	$133,000	$60,059	Bidding
Signage / monument	Site	09/07/24	Q1 2025	$690,000	$144,895	Deferred
Landscape / irrigation	Building	10/02/23	Q4 2027	$698,000	$335,559	In progress
Exterior paint	Site	01/18/26	Q3 2027	$411,000	$44,106	Complete
HVAC replacement	Building	03/31/24	Q2 2027	$597,000	$187,729	Bidding
ADA compliance	Site	10/19/24	Q3 2026	$701,000	$292,803	Complete
Exterior paint	Site	08/21/26	Q2 2026	$119,000	$95,492	Complete
Door hardware	Interior	11/22/24	Q3 2025	$254,000	$72,504	Complete
Water heater replacement	Building	10/15/25	Q3 2026	$369,000	$10,759	Bidding
HVAC replacement	Life Safety	12/19/26	Q3 2026	$689,000	$666,862	Bidding
Amenity renovation	Building	11/04/26	Q1 2027	$438,000	$306,309	Approved
Storefront glazing	Site	02/18/23	Q2 2027	$888,000	$10,423	Approved
Pool resurfacing	Life Safety	01/13/26	Q4 2026	$238,000	$132,850	In progress
Lobby renovation	Life Safety	05/28/24	Q3 2025	$298,000	$72,826	In progress
Amenity renovation	Site	06/19/25	Q4 2025	$584,000	$247,574	In progress
Amenity renovation	Energy	01/05/26	Q1 2026	$880,000	$344,082	Bidding
Landscape / irrigation	Life Safety	08/15/24	Q2 2025	$586,000	$460,183	Approved
Security camera upgrade	Energy	10/03/24	Q4 2027	$723,000	$92,520	Deferred
ADA compliance	Site	06/01/24	Q3 2025	$539,000	$136,389	Complete
Amenity renovation	Energy	05/01/23	Q4 2025	$604,000	$162,990	Deferred
Signage / monument	Energy	08/16/24	Q3 2027	$756,000	$611,680	Approved
ADA compliance	Site	03/15/24	Q3 2027	$507,000	$53,125	In progress
Lobby renovation	Interior	01/26/24	Q3 2025	$307,000	$20,516	In progress
Security camera upgrade	Life Safety	08/09/24	Q2 2027	$782,000	$78,378	Deferred
Fire alarm panel upgrade	Interior	11/27/23	Q1 2027	$311,000	$21,483	Complete
Parking lot resurfacing	Interior	10/30/25	Q1 2026	$708,000	$176,672	Deferred

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Observed Conditions

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $188,000. Elevators were last modernized 9 years ago and are operating without deficiency.

Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 31 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $398,000.

Business Plan Progress

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The business plan contemplates a hold period of 6 years with disposition upon achievement of target returns. Projected levered IRR is 9.3% with an equity multiple of 1.11x over the hold period. Homes average 1,928 square feet with average monthly rent of $2,138. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Turn costs average $386,000 per home, and the in-house maintenance team handles most work orders within 14 days.

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Homes average 1,928 square feet with average monthly rent of $2,138. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Turn costs average $77,000 per home, and the in-house maintenance team handles most work orders within 39 days.

Recommendations

Domestic water piping is copper and PVC with no evidence of widespread leakage. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 5 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 2 months. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $324,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Business Plan Progress

Projected levered IRR is 12.3% with an equity multiple of 1.13x over the hold period. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Homes average 1,928 square feet with average monthly rent of $2,138. Turn costs average $29,000 per home, and the in-house maintenance team handles most work orders within 30 days.

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Distributions to investors for the quarter were paid at an annualized rate of 7.0% on contributed capital. Turn costs average $286,000 per home, and the in-house maintenance team handles most work orders within 19 days. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Homes average 1,928 square feet with average monthly rent of $2,138.

Recommendations

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Unit interior upgrades	Site	07/31/24	Q4 2027	$535,000	$46,191	Bidding
Storefront glazing	Life Safety	11/24/24	Q4 2026	$595,000	$581,200	Bidding
Landscape / irrigation	Energy	04/10/26	Q2 2026	$509,000	$417,765	Bidding
Exterior paint	Site	01/19/25	Q3 2027	$130,000	$28,958	In progress
ADA compliance	Building	12/21/25	Q1 2026	$149,000	$34,212	In progress
Door hardware	Site	09/26/23	Q1 2026	$492,000	$24,435	Approved
Roof replacement - Bldg A	Site	03/15/23	Q2 2026	$87,000	$44,897	Complete
Door hardware	Interior	10/19/24	Q1 2027	$738,000	$341,152	Bidding
Pool resurfacing	Interior	07/24/24	Q1 2026	$516,000	$437,988	Approved
Sewer line repair	Interior	06/02/25	Q1 2025	$216,000	$66,031	Bidding
HVAC replacement	Life Safety	09/09/24	Q4 2026	$441,000	$241,348	Approved
Amenity renovation	Interior	10/02/26	Q4 2025	$462,000	$125,378	In progress
Door hardware	Life Safety	09/27/23	Q3 2026	$675,000	$16,611	Approved
Storefront glazing	Life Safety	09/15/25	Q2 2026	$508,000	$380,836	In progress
Landscape / irrigation	Building	12/05/26	Q3 2027	$742,000	$176,683	In progress
Storefront glazing	Life Safety	03/03/25	Q1 2025	$280,000	$125,020	Bidding
Security camera upgrade	Life Safety	05/06/24	Q1 2025	$843,000	$682,318	In progress
Parking lot resurfacing	Building	03/17/24	Q1 2025	$43,000	$13,510	In progress
Exterior paint	Site	07/24/23	Q1 2027	$23,000	$18,253	Approved
Lobby renovation	Interior	03/08/25	Q4 2025	$349,000	$54,007	Complete
Exterior paint	Site	09/19/26	Q3 2027	$359,000	$169,013	Approved
LED lighting retrofit	Life Safety	01/03/24	Q2 2025	$148,000	$81,249	In progress
Pool resurfacing	Interior	12/18/25	Q2 2026	$412,000	$203,327	Bidding
Security camera upgrade	Site	12/26/26	Q4 2026	$345,000	$34,293	Bidding
Elevator modernization	Energy	05/07/24	Q1 2025	$318,000	$87,804	Deferred
Amenity renovation	Site	07/09/23	Q1 2025	$119,000	$13,573	Complete
Water heater replacement	Energy	09/18/23	Q1 2027	$793,000	$151,649	Deferred
Water heater replacement	Building	04/19/26	Q2 2025	$467,000	$317,022	In progress
Door hardware	Energy	06/08/25	Q3 2027	$394,000	$143,443	Bidding
Signage / monument	Site	09/23/26	Q4 2027	$555,000	$414,980	Approved
Landscape / irrigation	Energy	01/15/26	Q2 2025	$671,000	$521,111	Deferred
LED lighting retrofit	Life Safety	09/05/23	Q3 2025	$241,000	$60,029	Approved
ADA compliance	Interior	09/10/26	Q4 2025	$412,000	$213,182	Complete
Fire alarm panel upgrade	Life Safety	01/12/25	Q4 2026	$813,000	$644,296	Bidding
Parking lot resurfacing	Building	01/16/23	Q4 2027	$273,000	$130,808	In progress
Roof replacement - Bldg A	Site	01/11/23	Q4 2026	$218,000	$171,732	Bidding
Lobby renovation	Site	03/28/25	Q3 2027	$645,000	$324,500	Approved
Door hardware	Life Safety	09/24/26	Q2 2026	$115,000	$42,127	In progress
Exterior paint	Interior	07/18/24	Q2 2026	$193,000	$45,294	Complete
Fire alarm panel upgrade	Life Safety	07/28/24	Q2 2026	$271,000	$169,283	Complete
Door hardware	Interior	07/21/25	Q4 2027	$132,000	$78,854	In progress
Door hardware	Site	06/29/26	Q2 2027	$170,000	$143,605	Bidding

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Recommendations

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 4 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 5 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $336,000. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $448,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Investment Overview

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Projected levered IRR is 3.3% with an equity multiple of 1.21x over the hold period. Turn costs average $64,000 per home, and the in-house maintenance team handles most work orders within 19 days. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Distributions to investors for the quarter were paid at an annualized rate of 5.3% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Recommendations

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 45 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 5 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $407,000.

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 27 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Elevators were last modernized 12 years ago and are operating without deficiency. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Business Plan Progress

Turn costs average $47,000 per home, and the in-house maintenance team handles most work orders within 23 days. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The business plan contemplates a hold period of 3 years with disposition upon achievement of target returns. Distributions to investors for the quarter were paid at an annualized rate of 6.7% on contributed capital.

Projected levered IRR is 13.2% with an equity multiple of 1.5x over the hold period. The business plan contemplates a hold period of 8 years with disposition upon achievement of target returns. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Deferred Maintenance

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $148,000. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 48 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 21 months. Elevators were last modernized 10 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $169,000. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Risk Considerations

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Storefront glazing	Life Safety	09/13/24	Q3 2027	$822,000	$365,934	Approved
Signage / monument	Site	12/03/24	Q4 2025	$109,000	$45,087	Bidding
Fire alarm panel upgrade	Site	03/07/24	Q3 2027	$281,000	$52,290	Bidding
Landscape / irrigation	Life Safety	02/14/26	Q2 2026	$468,000	$440,510	In progress
Signage / monument	Energy	05/25/25	Q1 2027	$426,000	$351,787	Bidding
LED lighting retrofit	Interior	07/20/23	Q4 2025	$278,000	$142,883	Approved
Unit interior upgrades	Life Safety	10/11/25	Q3 2025	$597,000	$213,634	Complete
Door hardware	Life Safety	11/21/24	Q2 2027	$310,000	$125,117	Bidding
Sewer line repair	Site	10/03/26	Q2 2026	$626,000	$502,933	Deferred
HVAC replacement	Site	06/07/24	Q4 2025	$266,000	$38,839	In progress
Door hardware	Site	07/23/26	Q2 2027	$267,000	$248,242	In progress
Parking lot resurfacing	Energy	12/07/26	Q3 2026	$703,000	$338,004	In progress
Sewer line repair	Energy	06/17/24	Q4 2026	$109,000	$49,834	Deferred
Signage / monument	Site	12/30/26	Q1 2025	$607,000	$478,334	Deferred
ADA compliance	Site	07/23/25	Q3 2026	$602,000	$33,826	Approved
Door hardware	Energy	10/07/24	Q2 2027	$590,000	$486,893	Complete
Door hardware	Interior	02/01/24	Q2 2026	$544,000	$206,860	Complete
Exterior paint	Interior	05/03/26	Q4 2025	$869,000	$9,812	Deferred
Roof replacement - Bldg C	Interior	01/06/25	Q3 2025	$635,000	$414,694	Complete
Security camera upgrade	Building	08/29/23	Q4 2026	$898,000	$483,021	Approved
Water heater replacement	Site	09/05/26	Q4 2027	$204,000	$119,409	In progress
Landscape / irrigation	Interior	02/13/25	Q3 2026	$143,000	$126,775	Bidding
Pool resurfacing	Life Safety	04/28/24	Q4 2026	$272,000	$223,227	Approved
ADA compliance	Site	06/10/23	Q2 2026	$553,000	$138,202	Complete
Fire alarm panel upgrade	Interior	03/04/23	Q2 2027	$74,000	$52,159	Bidding
Fence replacement	Energy	07/22/24	Q3 2027	$633,000	$320,483	Complete
HVAC replacement	Site	10/19/25	Q3 2027	$754,000	$784,943	Complete
Fire alarm panel upgrade	Life Safety	12/14/23	Q2 2026	$246,000	$16,648	In progress
LED lighting retrofit	Life Safety	04/02/26	Q3 2025	$269,000	$107,578	Deferred
Storefront glazing	Interior	01/17/25	Q3 2026	$282,000	$122,425	Bidding
Roof replacement - Bldg D	Site	11/24/23	Q4 2027	$677,000	$281,053	Deferred
Amenity renovation	Building	05/08/25	Q4 2026	$166,000	$56,272	Approved
LED lighting retrofit	Energy	05/26/23	Q1 2025	$26,000	$19,056	Deferred
Lobby renovation	Energy	10/27/25	Q3 2027	$722,000	$645,070	In progress
Signage / monument	Life Safety	03/10/26	Q2 2026	$298,000	$103,151	Approved
Fire alarm panel upgrade	Life Safety	10/29/23	Q3 2027	$497,000	$269,393	Complete
Landscape / irrigation	Building	04/02/24	Q2 2026	$778,000	$307,563	Approved
Roof replacement - Bldg B	Interior	03/12/25	Q4 2027	$264,000	$61,009	Approved
Exterior paint	Energy	08/03/23	Q2 2025	$690,000	$542,063	Bidding
Water heater replacement	Energy	11/01/23	Q3 2025	$65,000	$39,918	In progress
Signage / monument	Interior	11/27/24	Q4 2025	$776,000	$222,850	Bidding
ADA compliance	Energy	12/31/24	Q2 2025	$168,000	$103,189	Deferred
Parking lot resurfacing	Site	04/28/24	Q1 2025	$448,000	$237,111	Approved

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Deferred Maintenance

Elevators were last modernized 12 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $76,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 10 years ago and are operating without deficiency. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Risk Considerations

Projected levered IRR is 2.3% with an equity multiple of 1.10x over the hold period. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Turn costs average $226,000 per home, and the in-house maintenance team handles most work orders within 38 days. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Distributions to investors for the quarter were paid at an annualized rate of 4.0% on contributed capital. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard.

Recommendations

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $387,000. Domestic water piping is copper and PVC with no evidence of widespread leakage. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $399,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 6 years ago and are operating without deficiency.

Business Plan Progress

The business plan contemplates a hold period of 9 years with disposition upon achievement of target returns. Distributions to investors for the quarter were paid at an annualized rate of 3.1% on contributed capital. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Projected levered IRR is 9.6% with an equity multiple of 1.12x over the hold period. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Turn costs average $354,000 per home, and the in-house maintenance team handles most work orders within 31 days.

The business plan contemplates a hold period of 9 years with disposition upon achievement of target returns. Homes average 1,928 square feet with average monthly rent of $2,138. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Distributions to investors for the quarter were paid at an annualized rate of 3.0% on contributed capital. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Observed Conditions

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $65,000. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 12 months. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

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Summary and Notes

Valuation Discussion

Net operating income is projected to grow at a compound annual rate of 7.5% over the hold period. Effective gross income for the trailing period was $188,000, representing a 10.6% increase over the prior year. Homes average 1,928 square feet with average monthly rent of $2,138. Management fees are calculated at 3.3% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 7.32% reflects the in-place income and the stabilized occupancy assumption.

Debt service coverage ratio was 5.52x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 7.61% reflects the in-place income and the stabilized occupancy assumption. Turn costs average $174,000 per home, and the in-house maintenance team handles most work orders within 48 days. Homes average 1,928 square feet with average monthly rent of $2,138.

Leasing and Marketing

The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. The manager completes a monthly walk of the property and submits a variance report to the owner by the 47th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Turn costs average $322,000 per home, and the in-house maintenance team handles most work orders within 27 days. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 15 additional team members.

The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 34 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Turn costs average $83,000 per home, and the in-house maintenance team handles most work orders within 14 days. Homes average 1,928 square feet with average monthly rent of $2,138.

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